

EQUITY RESEARCH REPORT



About the company

Nestle India Ltd., a subsidiary of Nestle S.A., incorporated at New Delhi in March 1959, has been a significant player in the Indian FMCG industry. Nestlé India first made shares available to the public in 1968.

Known for it's, diversified product groups (including milk products; nutrition; prepared dishes; beverages; and confectionery; with brands like Maggi; Nescafe; & Kit Kat), localization, strong supply chain, quality focus, leading businesses with Nestle Professional, with sustainability & community development.

In 2025, Strategically acquiring more households, Nestle is planning to extend it's Starbucks coffee partnership to India by broadening its packaged coffee offerings & launching its super-premium Nespresso brand in the country. Moreover, Nestle's popular Maggi brand has launched a first-of-its-kind edible fork, promoting sustainability. Furthermore, the company has expanded its health science division by partnering with Dr. Reddy's Laboratories to bring advanced nutraceuticals to the Indian market. These initiatives reflect Nestle's commitment to meeting the evolving needs of consumers while promoting health and wellness.

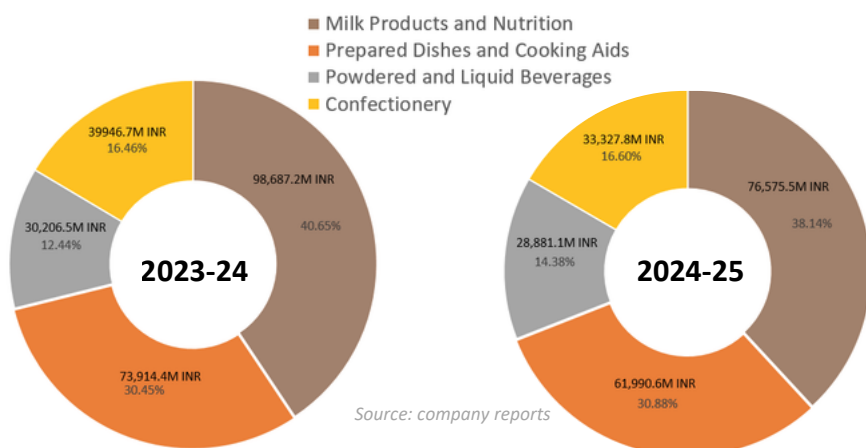
Key Highlights

- Total Revenue in FY2025 (INR Cr): 20,201.56
- Operating Margin stands as 22.00% at the end of FY2024.
- Net Sales of last 12 months (INR Cr): 20,077.50
- Net Profit of last 12 months (INR Cr): 3,314.50
- Sales Growth % in FY2025: -17.29
- 38.14% of the revenue was generated by the Prepared Dishes and Cooking Aids product group of Financial Year ending on 31st March, 2025.
- ROE last year % : 83

Revenue From Sale of Products

- 96% of Revenue generated from Sale of goods is via domestic market which is 192,926.7M INR.

Revenue From Product Groups

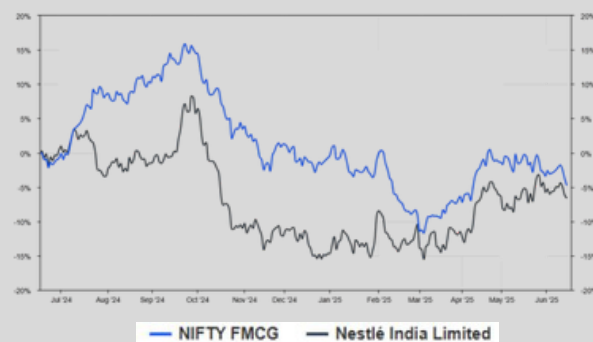


Recommendation	: Reduce
CMP (INR)	: 2,376.80
Target Price (INR)	: 1,587.5 to 1,987.5

Stock Data (as on 13 June, 2025)

Nifty	: 2,378.90
52 Weeks H/L (INR)	: 2778.00 / 2110.00
Market Cap. (INR Cr)	: 229160.87
Outstanding shares	: 964,153,946.40
Dividend yield %	: 1.14
NSE Code	: NESTLEIND

Comparison Stock Performance- 1Y



Shareholding Pattern (as on Mar, 2025) %

Promoters	: 62.76
FIIS	: 10.02
DIIS	: 11.30
Public	: 15.90

Financial Summary

Particulars (INR Crs)	2024-25A	2025-2026E
Sales	2,00,775	2,48,828
YoY Sales Growth	-17.29%	23.93%
Profit from Operations (EBIT)	43,104	53,669
Operating Margin (EBIT Margin)	21.47%	21.57%
Profit after Tax	33,145	42,217
YoY PAT Growth	-15.72%	27.37%
Return on Average Equity (%)	108.9	108
Earnings per share (₹)	34.38	44
Dividend per share (₹)	27	33

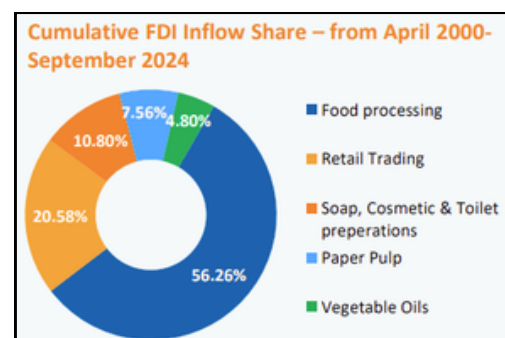
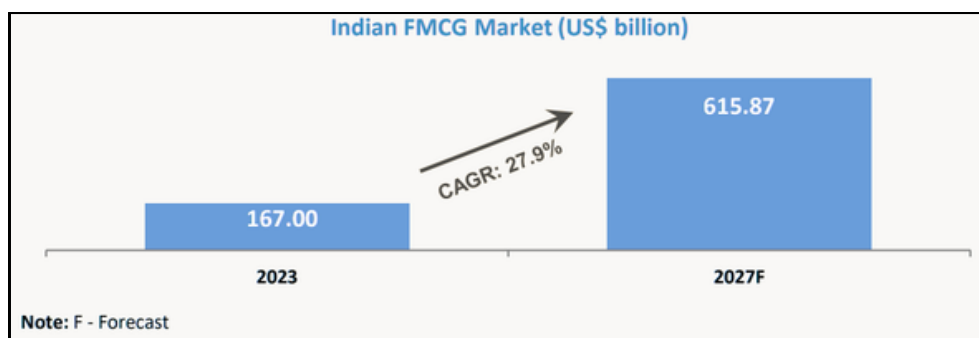
Indian FMCG Industry

Fast moving consumer goods (FMCG) is the 4th largest sector in the Indian economy. India is a country that no FMCG player can afford to ignore due to its middle-class population, which is larger than the total population of USA. There are three main segments in the sector:

- Food and beverages, which accounts for 19% of the sector;
- Healthcare, which accounts for 31% of the share; &
- Household and personal care, which accounts for the remaining 50% share.

This has been further aided by government initiatives to increase financial inclusion and establish social safety nets. As per 2021-22, The urban segment contributes to about 65% of the revenue share, while the rural segment accounts for 35%. With rising disposable incomes, FMCG companies should enhance their digital presence and invest in direct-to-consumer (DTC) models. Increased rural consumption presents an opportunity for expanding distribution networks in tier-2 and tier-3 cities. With the advent of online retail and e-commerce, FMCG businesses are able to market and sell their products across the country without investing much in marketing activities. Digital advertising grew to reach US\$ 9.92 billion by 2023, with the FMCG industry being the biggest contributor at 42% share of the total digital spend. The quick commerce market could reach between US\$ 25 billion and US\$ 55 billion by 2030, driven by an increase in high-frequency, high-value users.

The Union Budget 2025-26 provides a strong push to consumer spending, particularly benefiting the FMCG industry. The increase in disposable income, rural development focus, and MSME support create an ideal environment for growth. As per CRISIL, India's dairy industry is projected to experience a healthy revenue growth of 13-14% in FY25, driven by strong consumer demand and increased raw milk supply.



Source: ibef.org, ficci.in

Competitive landscape for Nestle

Company	Strenghts	Weaknesses	Opportunities	Threats
Britannia	33% market share in organized biscuits.	Fluctuations in raw mater. prices can squeeze profit margins.	Growing demand for healthier snacks.	High dependence on biscuit segment.
Bikaji Foods	Profit growth of 27.9% CAGR over last 5yrs.	Faces intense competition.	Great potential to further increase exports.	Absence of a healthy food segment.
Mrs Bectors	English Oven is a leading premium bakery brand.	Strong focus on Northern India	Expansion into new geographies	Weakening technicals & share price decline.

S. No.	Name	Designation	Qualification & Institution	Since	Commentary
1	Mr. Suresh Narayanan	Chairman & Managing Director	Master's Degree in Economics - Delhi School of Economics, Diploma from IMD Program for Executive Development -IMD, Nestlé Leadership Program - London Business School	2015	Mr. Narayanan had significant leadership roles across various Nestle markets, including India, Indochina, Singapore, and Egypt, with over 30 yrs in the FMCG sector. He's widely respected for his instrumental role in successfully navigating & reviving the Maggi noodles brand after the 2015 crisis, demonstrating strong resilience and strategic acumen. However, his upcoming retirement in July 2025 presents a noteworthy leadership transition, carrying inherent risks of disruption or a potential shift in strategic direction.
2	Ms. Svetlana Boldina	Executive Director - Finance & Control and CFO	Engineering Degree - Moscow Telecommunication University, Master's in Business Administration (Accounting and Finance Technology) - Russian Academy for Economics	2023	Ms. Boldina brings over 25 yrs with Nestle Group, & has a comprehensive understanding of global financial operations & culture, having worked across Russia, Eastern Europe, & Indonesia. She's particularly noted for her success in building & shaping professional Finance and Information Technology teams in her prior roles, highlighting strong leadership skills.
3	Mr. Satish Srinivasan	Executive Director - Technical	Engineering Degree	2023	Mr. Satish Srinivasan's key strengths lie in his deep and extensive technical expertise, over 35 yrs of experience, including significant contributions across the Nestle Group's technical operations. He demonstrates proven global operational leadership, having worked in diverse Nestle factories across India, the Philippines, Sri Lanka, Equatorial Africa, and Indochina, and notably headed Dairy Operations in Switzerland. He's recognized as a strategic and efficient operations driver, adept at optimizing capital expenditure, ensuring quality, and executing with speed.
4	Mr. P R Ramesh	Independent Non - Executive Director	Bachelor of Commerce - Osmania University, Fellow Member of ICAI - Institute of Chartered Accountants of India (ICAI)	2020	Mr. P R Ramesh brings unparalleled financial acumen with over 40 yrs of experience, including significant leadership at Deloitte and as a Fellow of ICAI. His strengths are further amplified by his deep understanding of corporate governance and regulatory compliance, evidenced by extensive involvement with key bodies like SEBI and RBI. He offers invaluable independent oversight as Lead Independent Director and Audit Committee Chairman, coupled with diverse industry exposure gained from serving a wide range of sectors.
5	Ms. Suneeta Reddy	Independent Non - Executive Director	BA (Public Relations, Economics, Marketing) - Stella Maris College, Diploma, FM - Institute of Financial Management & Research, Owner/President Mgmt Prgm - HBS	2024	Mr. Suneeta Reddy's strengths are rooted in her proven leadership & strategic acumen as Managing Director of Apollo Hospitals, where she drove financial growth and innovation. With over 40 yrs in healthcare, she offers deep expertise in strategy, operations, & corporate services, alongside a strong record of driving major projects.
6	Mr. Sidharth Kumar Birla	Independent Non - Executive Director	MBA - IMD (Lausanne), MBA - University of Calcutta, Harvard Business School	2024	Mr. Sidharth Kumar Birla offers vast entrepreneurial and industrial experience spanning over 45 yrs, bringing deep insights into business operations & strategy as the founder and Chairman of Xpro India Limited. His in-depth regulatory & policy insight stems from roles as a government nominee to ICAI and past President of FICCI, providing invaluable understanding of India's economic and industry dynamics.
7	Ms. Alpana Parida	Independent Non - Executive Director	PGDM - IIM-Ahmedabad, Degree in Economics - St. Stephens (Delhi University)	2022	Ms. Alpana Parida offers deep marketing and retail expertise from over 20 yrs in India and the USA, including leadership at Tanishq, providing invaluable insights into consumer behavior and brand building. As Founder & CEO of Tiivra Ventures, she brings an entrepreneurial perspective on new ventures & challenges.
8	Ms. Anjali Bansal	Independent Non - Executive Director	BCE - Gujarat University, Master's in International Finance and Business - Columbia University, YPO Presidents Program - HBS	2022	Ms. Anjali Bansal's strengths are defined by her exceptional leadership & turnaround experience, notably in resolving a stressed Dena Bank. She brings deep expertise in digital and new technologies, coupled with vast financial & strategic acumen from her background in private equity, consulting, & M&A. Her entrepreneurial insight as founder of Avaana Capital, makes her a highly influential independent director.

10 years of Historical Performance (in INR Million)

Particulars	2015*	2016	2017	2018	2019	2020	2021	2022	2023-24*	2024-25
Results										
Sales	81,233	94,096	1,01,351	1,12,162	1,22,953	1,32,902	1,46,649	1,67,895	2,42,755	2,00,775
Sales Growth		15.83%	7.71%	10.67%	9.62%	8.09%	10.34%	14.49%	44.59%	-17.29%
Profit from Operations	13,338	16,542	18,305	23,509	25,940	28,775	32,288	33,659	53,418	43,104
Operating Margin	16.42%	17.58%	18.06%	20.96%	21.10%	21.65%	22.02%	20.05%	22.00%	21.47%
As % of Sales	16.4	17.6	18.1	21	21.1	21.7	22	20	22	21.5
Profit after Tax	5,633	10,014	12,252	16,069	19,684	20,824	21,184	23,905	39,328	33,145
Profit Margin	6.93%	10.64%	12.09%	14.33%	16.01%	15.67%	14.45%	14.24%	16.20%	16.51%
As % of Sales	6.9	10.6	12.1	14.3	16	15.7	14.4	14.2	16.2	16.5
Balance Sheet and Cash Flow Statement										
Shareholders Fund	28,178	32,823	34,206	36,737	19,189	20,193	19,464	24,592	33,409	41,172
Return on Average Equity (%)	19.9	32.8	36.6	45.3	70.4	105.8	111	108.5	108.5	108.9
Operating Cash flow	10,981	14,659	18,178	20,525	22,953	24,545	22,360	27,374	41,748	29,363
As % of Sales	13.5	15.6	17.9	18.3	18.7	18.5	15.2	16.3	17.2	14.6
Capital Expenditure	1,493	1,133	1,959	1,628	1,522	4,741	7,308	5,407	18,783	20,044
As % of Sales	1.8	1.2	1.9	1.5	1.2	3.6	5	3.2	7.7	10
Data per Share (₹)										
Earnings per share (₹)	5.84	10.39	12.71	16.67	20.42	21.6	21.97	24.79	40.79	34.38
Dividend per share (₹)	4.8	6.3	8.6	11.5	34.2*	20	20	22	32.2	27
Others										
Market capitalisation	5,61,535	5,81,367	7,56,381	10,70,913	14,25,983	17,73,312	18,99,925	18,90,327	25,28,358	21,70,077
Number of employees	7,495	7,588	7,527	7,604	7,649	7,747	7,910	8,069	8,912	8,629

Profit & Loss (in INR Million)

Source: company reports

Particulars	Financial Year ended 31st March, 2025 (in million)	Financial Year (Fifteen months) ended 31st March, 2024 (in million)
A) INCOME		
Sale of products	2,00,775.00	2,42,754.80
Other operating revenue	1,240.60	1,184.10
i Revenue from operations	2,02,015.60	2,43,938.90
ii Other income	588.6	1,479.60
Total Income	2,02,604.20	2,45,418.50
B) EXPENSES		
i Cost of materials consumed	83,901.50	1,02,168.80
ii Purchases of stock-in-trade	4,993.10	5,373.70
iii Changes in inventories of finished goods, work-in-progress and stock-in-trade	-1,396.60	-456.8
iv Employee benefits expense	20,237.10	23,360.60
v Finance costs (including interest cost on employee benefit plans)	1,360.00	1,454.90
vi Depreciation and amortisation expense	5,399.20	5,677.50
vii Other expenses	45,777.20	54,397.20
viii Corporate social responsibility expense	766.2	597.6
Total Expenses	1,61,037.70	1,92,573.50
C) PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX (A-B)	41,566.50	52,845.00
D) Exceptional items [Charge / (Credit)]	-2,908.20	-43.7
E) PROFIT BEFORE TAX (C-D)	44,474.70	52,888.70
F) Tax expense		
Current tax	10,951.80	13,156.80
Deferred tax	377.9	403.5
G) PROFIT AFTER TAX (E-F)	33,145.00	39,328.40
H) OTHER COMPREHENSIVE INCOME		
(a) (i) Re-measurement gains / (losses) of defined benefit plans	-1076.7	-573.3

Cont. Profit & Loss

(ii) Income taxes relating to Items that will not be reclassified to profit or loss	271	144.3
Subtotal (a)	-805.7	-429
(b) (i) Net movement on effective portion of cash flow hedges	12.4	-0.5
(ii) Income taxes relating to Items that will be reclassified to profit or loss	-3.1	0.1
Subtotal (b)	9.3	-0.4
TOTAL OTHER COMPREHENSIVE INCOME (a+b)	-796.4	-429.4
I TOTAL COMPREHENSIVE INCOME (G+H)	32348.6	38899
Basic and Diluted Earnings Per Share (Face value â,¹1 - refer note 16)	34.38	40.79
ADDITIONAL INFORMATION : PROFIT FROM OPERATIONS [C - A(ii) + B(v) + B(viii)]	43104.1	53417.9

Balance Sheet (in INR Million)

Source: company reports

Particulars	As at 31st March, 2025 (₹ in million)	As at 31st March, 2024 (₹ in million)
ASSETS		
Non-Current Assets		
Property, plant and	49,256.50	30,556.70
Capital work-in-progress	11,725.60	17,417.10
Right-of-use assets	5,479.60	4,045.80
Financial assets		
Investments	7,058.00	4,238.90
Loans	80.9	80.1
Other financial assets	554	565.1
Other non-current assets	11,744.70	13,379.70
Total Non-Current Assets	85,897.30	70,283.40
Current Assets		
Inventories	28,501.40	20,893.60
Financial assets		
Investments	-	399.8
Trade receivables	3,631.50	3,004.60
Cash and cash equivalents	761.8	7,588.70
Bank balances other than cash and cash equivalents	194.7	199.8
Loans	103.1	110.1
Other financial assets	247.2	462.7
Other current assets	3,901.90	2,287.90
Total Current Assets	37,341.60	34,947.20
Total Assets	1,23,238.90	1,05,230.60

EQUITY AND LIABILITIES		
EQUITY		
Equity share capital	964.2	964.2
Other equity	40,207.30	32,444.70
Total Equity	41,171.50	33,408.90
LIABILITIES		
Non-Current Liabilities		
Financial liabilities		
Borrowings	224.8	254.8
Lease liabilities	3,413.30	2,559.20
Provisions	30,901.50	29,172.00
Deferred tax liabilities (net)	535.9	120.4
Other non-current liabilities	136.4	154.6
Total Non-Current Liabilities	35,213.90	32,261.00
Current Liabilities		
Financial liabilities		
Borrowings	7,308.60	56.6
Lease liabilities	719.8	574.7
Trade payables		
Total outstanding dues of micro enterprises and small enterprises	4,170.90	3,532.60

Total outstanding dues of creditors other than micro enterprises and small enterprises	19,564.40	18,846.30
Payables for capital expenditure		
Total outstanding dues of micro enterprises and small enterprises	430.3	561.4
Total outstanding dues of creditors other than micro enterprises and small enterprises	2,072.50	5,179.80
Other financial liabilities	7,553.00	6,417.20
Other current liabilities	2,158.70	1,393.80
Provisions	2,422.80	2,616.20
Current tax liabilities (net)	452.5	382.1
Total Current Liabilities	46,853.50	39,560.70
Total Liabilities	82,067.40	71,821.70
Total Equity and Liabilities	1,23,238.90	1,05,230.60

Cashflow Statement (in INR Million)

Particulars	Financial Year ended 31st March, 2025	Financial year ended 31st March, 2024
A) CASH FLOWS FROM OPERATING ACTIVITIES		
Profit Before Tax	44,474.70	52,888.70
Adjustments for:		
Depreciation and amortisation expense	5,399.20	5,677.50
Loss/(Profit) on property, plant and equipment sold/scrapped/written off (net)	-23.8	-66.6
Interest income	-586.6	-1,479.60
Interest on bank overdraft and others	80.3	16.1
Gain on disposal of businesses	-2,908.20	
Interest on lease liabilities	270.2	243.9
Allowance for impairment on financial assets	-32.8	-6.8
Unrealised exchange differences	48.2	-48.9
Cash generated from operations before working capital and other changes	46,719.20	57,224.30
Adjustments for:		
Decrease/(Increase) in trade receivables	-700	-1,088.10
Decrease/(Increase) in inventories	-767	-1,605.90

Cont. Cashflow Statement

Decrease/(Increase) in other financial assets & other assets	-982.3	-212.5
Increase/(Decrease) in trade payables	1,341.20	3,098.30
Increase/(Decrease) in other financial liabilities & other liabilities	1,944.50	700.1
Increase/(Decrease) in provision for contingencies	495.1	-1,015.90
Increase/(Decrease) in provision for employee benefits	-529.2	-2,364.80
Cash generated from operations	39,607.50	54,735.50
Income taxes paid (net of refunds)	-10,244.00	-12,987.60
Net cash flows generated from / (used in) operating activities	29,363.50	41,747.90

B) CASH FLOWS FROM INVESTING ACTIVITIES

Purchase of property, plant and equipment including capital work in progress	-20,086.40	-18,826.70
Proceeds from sale of property, plant and equipment	42.5	43.7
Proceeds from redemption of tax-free bonds and investments	4,238.90	2,837.90
Investment in equity shares of associate	-7,058.00	
Proceeds from sale of businesses net of tax	2,664.70	
Amount received from insurance pension plan - separations	1,325.80	1,898.10
Net decrease/(increase) in loans to employees	6.2	2.4
Interest received on bank deposits, investments, tax free bonds, employee loans etc.	755.3	1,670.40
Net cash generated from / (used in) investing activities	-18,109.00	-12,374.20

C) CASH FLOWS FROM FINANCING ACTIVITIES

Payment of deferred VAT liabilities under state government schemes	-53.2	-45.9
Receipt of deferred VAT liabilities under state government schemes		38
Proceeds from short term borrowing and overdraft from banks	7,257.00	
Interest on bank overdraft and others	-67	-16.1
Interest on lease liabilities	-270.2	-243.9
Principal payment of lease liabilities	-991.8	-998.4
Dividends paid	-23,588.30	-30,681.80
Net cash generated from / (used in) financing activities	-18,413.20	-31,949.20

C) CASH FLOWS FROM FINANCING ACTIVITIES

Payment of deferred VAT liabilities under state government schemes	-53.2	-45.9
Receipt of deferred VAT liabilities under state government schemes		38

Proceeds from short term borrowing and overdraft from banks	7,257.00	
Interest on bank overdraft and others	-67	-16.1
Interest on lease liabilities	-270.2	-243.9
Principal payment of lease liabilities	-991.8	-998.4
Dividends paid	-23,588.30	-30,681.80
Net cash generated from / (used in) financing activities	-18,413.20	-31,949.20
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS (A+B+C)	-7,226.70	-1,975.50
Cash and cash equivalents	7,588.70	9,265.50
Current investments	399.8	698.5
Total cash and cash equivalents at the beginning of the year	7,988.50	9,964.00
Cash and cash equivalents	761.8	7,588.70
Current investments	-	399.8
Total cash and cash equivalents at the end of the year	761.8	7,988.50
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS	-7,226.70	-1,975.50

Financial Ratios

S.no.	Ratio	Financial Year ended 31st March, 2025 (15M)	Financial year ended 31st March, 2024
1	Current Ratio	0.80	0.90
2	Debt-Equity Ratio	0.3	0.1
3	Debt Service Coverage Ratio	34.60	35.50
4	Return on Equity Ratio	88.90%	108.50%
5	Inventory Turnover Ratio	8.1	9.70
6	Trade Receivables Turnover Ratio	60.5	78.9
7	Trade Payables Turnover Ratio	6.10	6.3
8	Net Capital Turnover Ratio	-21.1	-42.1
9	Return on Capital Employed (%)	79.30%	114.40%
10	Return on Investment (%)	0.11	0.09
11	Operating Margin	21.47%	22.00%
12	Net Profit Margin	16.51%	16.20%

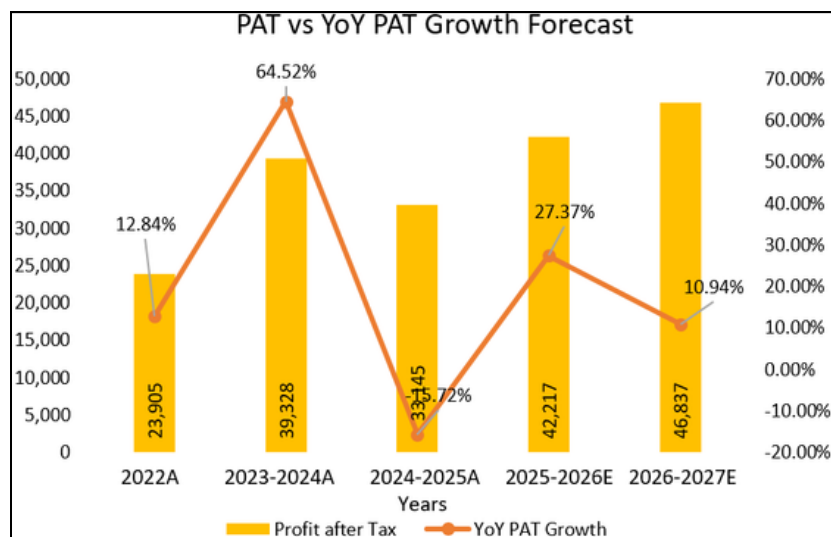
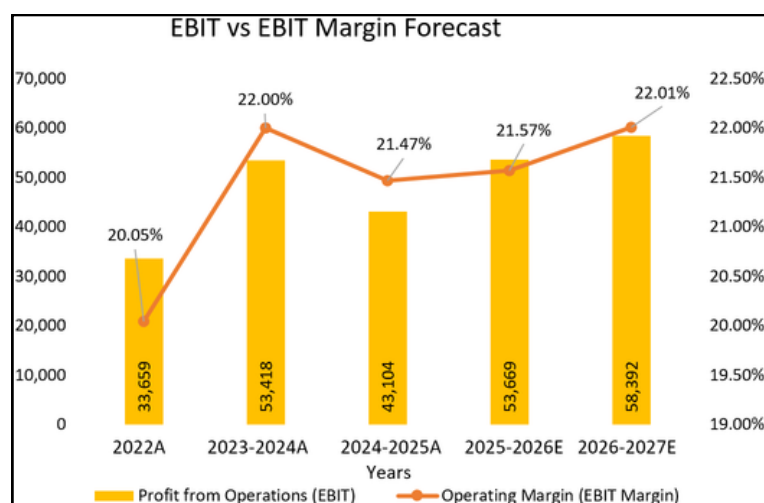
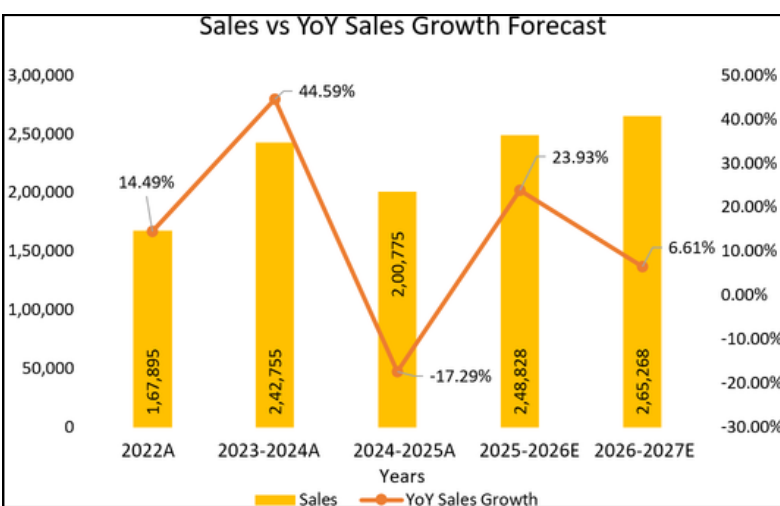
Commentary:

Nestle demonstrated an exceptional strong ability to cover its debt obligations, hence generating the Debt Service Coverage Ratio as 36.40. Although the profitability margins; Net Profit Ratio & Operating Margin slightly improved to 16.51% & 21.47% respectively. The Current Ratio has deteriorated further to 0.80, which is a significant red flag. The Net Capital Turnover Ratio remains deeply negative at (21.1), presenting an issue of negative working capital. There was also a notable decline in Inventory Turnover Ratio & Trade Receivables Turnover Ratio. The AR of FY 2025, explicitly mentioned "Short-term borrowing taken for meeting working capital requirement" as a reason for the variance in Return on Capital Employed, which clearly points at increased financial leverage, hence, increasing the Debt-Equity Ratio from 0.1 to 0.3.

Forecasted Financial Statements

Particulars	2022A	2023-24*A	2024-25A	2025-2026E	2026-2027E
Sales	1,67,895	2,42,755	2,00,775	2,48,828	2,65,268
YoY Sales Growth	14.49%	44.59%	-17.29%	23.93%	6.61%
Profit from Operations (EBIT)	33,659	53,418	43,104	53,669	58,392
Operating Margin (EBIT Margin)	20.05%	22.00%	21.47%	21.57%	22.01%
Profit after Tax	23,905	39,328	33,145	42,217	46,837
YoY PAT Growth	12.84%	64.52%	-15.72%	27.37%	10.94%
Return on Average Equity (%)	108.5	108.5	108.9	108	108
Earnings per share (₹)	24.79	40.79	34.38	44	49
Dividend per share (₹)	22	32.2	27	33	36

Forecasts on graphs



Comparable Company Analysis (CCA)

Company	Market Data			Financial Metrics			Valuation		
	Ticker	Market Capitalization (INR cr.)	Enterprise Value (TEV) (INR cr.)	Revenue	EBITDA	Net Income (ttm)	TEV/Revenue	TEV/EBITDA	P/E Ratio
Nestle India	NESTLEIND	2,29,160.87	2,30,251.69	20,077.50	4,696.50	3,234.86	11.5x	49.0x	71.2x
Britannia Inds.	BRITANNIA	1,34,164.59	1,33,987.59	17,535.02	3,187.00	2,179.00	7.6x	42.0x	61.5x
Bikaji Foods	BIKAJI	18,699.03	18,675.03	2,553.43	328.00	201.00	7.3x	56.9x	92.9x
Zydus Wellness	ZYDUSWELL	12,169.87	12,247.87	2,691.20	380.00	347.00	4.6x	32.2x	35.3x
Mrs Bectors	BECTORFOOD	8,471.98	8,331.98	1,873.88	251.00	251.00	4.4x	33.2x	33.2x
Minimum							4.4x	32.2x	33.2x
25th Percentile							4.6x	33.2x	35.3x
Median							7.3x	42.0x	61.5x
Mean							7.1x	42.7x	58.8x
75th Percentile							7.6x	49.0x	71.2x
Maximum							11.5x	56.9x	92.9x
<u>Nestle India - Implied Valuation</u>									
							TEV/Revenue	TEV/EBITDA	P/E Ratio
Implied Enterprise Value							1,46,841	1,97,450	-
Net Debt							1,090.82	1,090.82	1,090.82
Implied Equity Value							1,45,750	1,96,359	1,98,913
Shares Outstanding (Cr.)							96.42	96.42	96.42
Implied Value per Share							1,511.68	2,036.58	2,063.07
Current Market Price							2,376.80	2,376.80	2,376.80
Assessment							Overvalued	Overvalued	Overvalued

Source: company reports, finance.yahoo

Risk & Challenges

Based of future plans, financials & valuation, there are some potential risks that could negatively impact Nestle's performance:

- **Risk in New Product Launches:** As, Nestle's plans to launch its super-premium Nespresso brand, it carries inherent execution risks, such as flawed marketing or distribution concerns, which could lead to wasted R&D expenses, resulting in sub-optimal returns on investment and increased marketing expenditure. Simultaneously, Nestle can fall under broader operational cost pressures, as any substantial increase in labor costs, manufacturing inefficiencies, or distribution bottlenecks that cannot be fully passed on to consumers would directly compress profit margins, impacting overall profitability and operational leverage within the highly competitive FMCG landscape.
- **Deteriorating Operational Efficiency:** The decline in Inventory turnover (-16%) & Trade Receivables Turnover (-23%) demonstrate a slow sales conversion, affecting the operating cycle, hence delaying cash collection which impacted the capital in operations. This is compounded by a negative working capital position, which is pushed by a strong increase in short term debt (172% jump in Debt-Equity Ratio for Working Capital needs). Resulting in a steep drop of -31% in ROCE which signals that Nestle is less efficiently utilizing its capital to generate profits, which raises concern about operational & liquidity issues.
- **Overvaluation:** The CCA overvaluation shows a significant risk to investors, as the stock can be influenced to a price correction as market sentiment shifts, or if Nestle fails to deliver growth and profitability that justifies its elevated valuation compared to its peers. This could lead to sub-optimal returns or capital loss for investors entering at current levels.

Shareholding Pattern

Category	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Promoters	62.76%	62.76%	62.76%	62.76%	62.76%
FIIIs	12.29%	12.01%	12.06%	12.10%	10.02%
DIIIs	7.95%	8.60%	9.19%	9.00%	11.30%
Public	16.99%	16.62%	15.99%	16.14%	15.90%

Source: company reports

Commentary:

In a period of 5 years, the Promoters remained constant, while FIIIs observed a minor decrease from Mar-21 to Mar-24 which was 12.29% to 12.10% respectively, before drastically decreasing to 10.02% in Mar-25. DIIIs gradually increased every year from Mar-21 to Mar-24, with an intense increase in Mar-25 by 11.30%. The Public's shareholding pattern experienced a slow, yet consistent decline, reaching approximately 15.9% by Mar-25, indicating a reduced public stake over this period.

Peer Stock Performance 1Y- Indexed

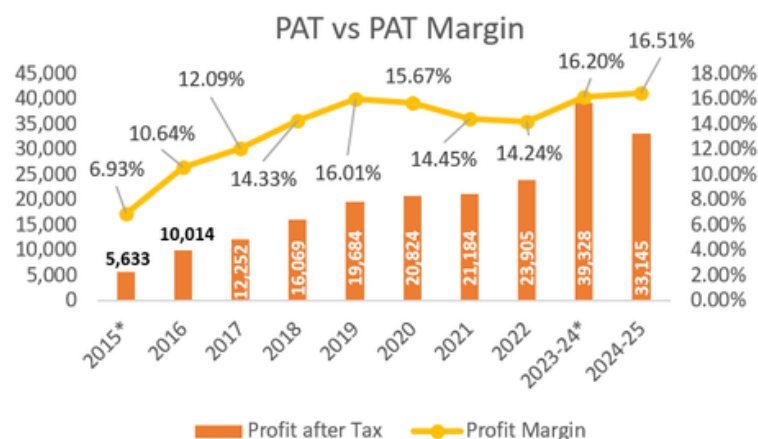
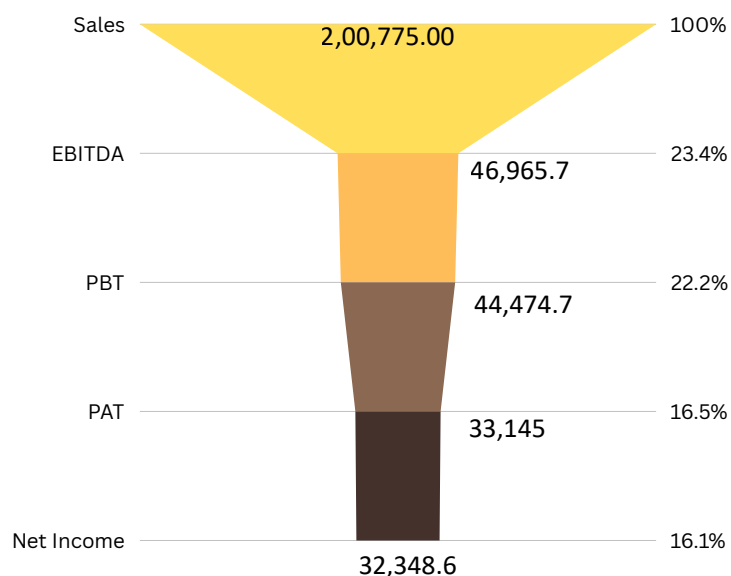


Source: Google Finance

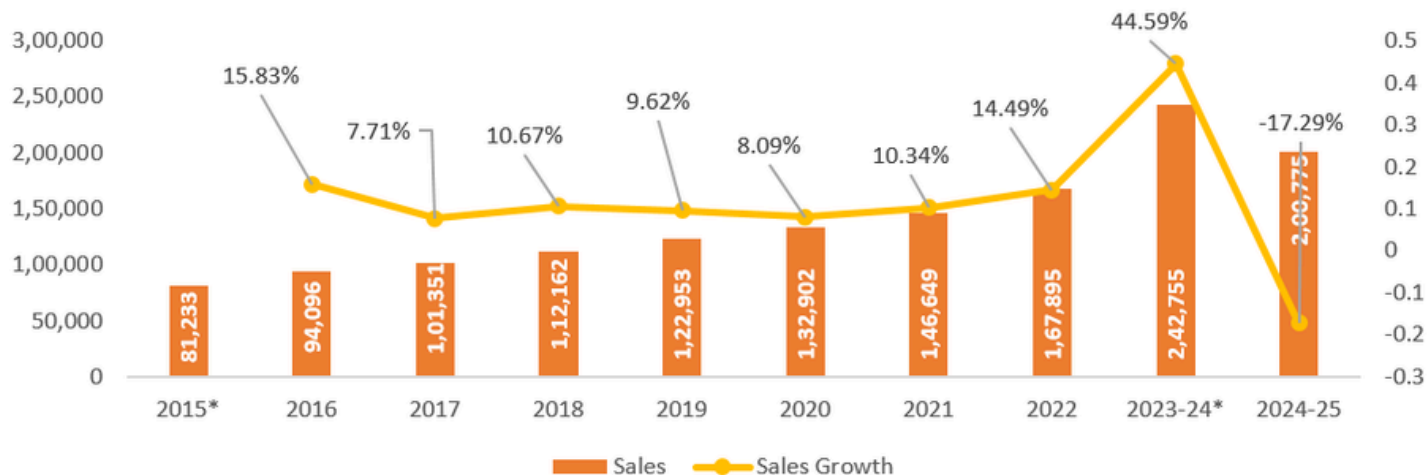
Commentary:

- Mrs. Bectors Food Specialities Ltd. stands out with highest overall growth during the period of Jul-24 to Jun-25, this performance is strongly reflects investors confidence as the peak reaches approximately more than 45% in late 2024.
- Bikaji Foods International Ltd. also showed strong performance, peaking around +30-35%, & generally maintained a positive trajectory, which contributes to its high valuation multiples in CCA.
- Zydus Wellness Ltd. experienced initial positive surge before sharply declining, this weaker market sentiment aligns with its comparatively low valuation multiples.
- Britannia Industries Ltd. mostly traded below the zero line, indicating comparatively underperforming trend among peers.

Income Statement Mar-2025 in INR Million



Sales vs Sales Growth



EBIT vs EBIT Margin

